Why Macro is “Pretty Risk-On” for Equities | Tian Yang of Variant Perception

Podcast: Monetary matters

AI Executive Summary

This transcript features a deep-dive macro discussion between an interviewer and **Tien**, a strategist from **Variant Perception**. The conversation covers China's structural economic issues, the evolving landscape of global AI, geopolitical shifts in emerging markets, and specific investment strategies.

Here is a thematic summary of the key insights:

1. The China Dilemma: Supply-Side Focus vs. Domestic Consumption

Tien argues that China's economic weakness is not new but structural. * **Crowding Out Households:** For 15 years, China has prioritized the "sovereign" agenda (industry and tech), which has inherently crowded out the household sector. This, combined with the real estate crash (destroying household wealth), makes a consumer-led rebound unlikely without a massive, improbable revaluation of the Renminbi. * **The Export Trap:** Because China focuses on the supply side to maintain employment, it inevitably creates excess capacity. To avoid domestic stagnation, China must export this excess, leading to global trade tensions and "price wars" (e.g., in EVs and manufacturing). * **Corporate Profits:** While the government suggests an "anti-involution" (reducing cutthroat competition) approach for giants like Alibaba and Tencent, Tien believes it is difficult to implement as long as there isn't enough domestic demand to match the supply.

2. The Future of AI: Tiers and Profit Pools

The discussion moves from Chinese macro to the global AI landscape, focusing on how intelligence will be commoditized. * **Three-Tiered Intelligence Model:** Tien predicts a market split into three distinct layers: 1. **Mass Market (150 IQ):** Open-source, low marginal cost, highly commoditized. This is where China excels and where profit pools are

destroyed. 2. **Business/Enterprise (150–200 IQ):** Focused on workflow automation and efficiency. 3. **Elite/Sovereign (200+ IQ):** High-end, high-trust models for governments and major corporations. This is where the real profit and "moats" (data trust/cloud ecosystems) will reside. * **The China Factor:** China's strategy is to adopt open-source models to prevent being "locked in" to US ecosystems. While this accelerates global price compression, it serves China's national interest by gaining market share through low cost and rapid commercialization.

3. Global Macro: Geopolitical Winners and Losers

Tien provides a specific outlook on several key regions based on their geopolitical positioning: * **India (The Vulnerable):** Unlike the "carrot" of Latin America, India is caught between the "sticks" of the US and China. As India tries to build its manufacturing base, it may face resistance from both superpowers who view its rise as a potential threat. / * **Latin America (The Opportunity):** Viewed as a "carrot" that both the US and China want to attract, making it a more attractive allocation. * **Europe (The Struggler):** Faces significant headwinds from energy crises, heavy regulation, and increasing competition from Chinese exports (e.g., EVs). * **Japan (The Unstable):** The macro situation is "untenable." Despite rising inflation on the ground (wages/real estate), the Bank of Japan's (BOJ) attempt to manage the currency without meaningful rate hikes or fiscal coordination is seen as a struggle for credibility.

4. Monetary Policy and Commodities

- **US Federal Reserve:** The focus shouldn't just be on incremental rate hikes, but on **restoring market functioning.** The goal should be removing excess reserves and allowing money markets to provide proper price signals again.
- **Gold & Metals:** Gold has likely found its floor; while it serves as a good hedge against stagflation, a massive rally requires central banks to begin cutting rates. However, other metals remain a "bullish" play due to ongoing geopolitical volatility.

5. Investment Strategy: The VPX ETF

Tien explains the mechanics behind their **VPX (Varying Perception US Equity ETF)**: * **Methodology:** A systematic, long-only strategy that avoids the "concentration risk" of the S&P 500 (where a few tech names drive everything). It uses a combination of **Capital Cycle, Quality, and Crowding** models to rotate sectors. * **Performance Drivers:** The fund's recent outperformance is attributed to **factor timing**—specifically moving from heavy Tech/Growth exposure in April/May into Energy and Value as market volatility increased and the "AI factor" became more unstable.

Full Transcript

I'm joined once again by Tien Yang, co-founder and head of research at Variant Perception. Tien, what do you think about the stock market right now, the S&P, the NASDAQ, the semiconductor stocks? They have been trading quite weekly for the past month. Do you think that this is a bottom? So I think time horizon matters. So on our macro risk indicators that generally looking forward more three to six months, we're still in a risk on macro regime, where it sees the mix of growth, inflation policy, liquidity is broadly still supportive risk assets. So in general, I think the environment still good. Now, clearly with the kind of hype around AI, the kind of, you know, mania in Korea, there's obviously signs of excess linked specifically to AI. And that's clearly why we've obviously had that bubble, like price action, you had a bunch of LPPL bubble exhaustion scoff in early June. We've had the correction.

But from here, I would say that this is kind of like what the golden Bitcoin tops felt like. If you go back to like summer of 2025, it's kind of like the fundamental story hasn't really changed. Right. Like, you know, Trump's going to be a great crypto president. You know, they're going to pass the genius act or that. But, you know, if you despite that, the price action just exhausts similarly for gold at the beginning of the year. And I think you're a little bit at that stage with Semi's where there's enough like underlying things on bottlenecks and, you know, the future, that's all still intact. The fundamentals haven't changed. But the price action is kind of telling you, you know, it's become like a meme, too much money's got in. And typically when that tops and rolls over, it's quite hard for it to regain the highs. Obviously, we're well, well below the highs. So certainly we're recording this just as we have the situational awareness news. So certainly, yeah, sure, could you get like a very sharp squeeze, a tradeable bounce, absolutely. But I think the medium term picture is that you we need like a new narrative, right? The narrative around Agenic AI, the narrative around bottlenecks, that's what fueled this leg of the rally from April on. That narrative clearly done and we're waiting around for the next narrative. Maybe it's going to be like, you know, real world world modeling, like things like that, right? You need something else ready to come along with like a wild moment. I think

for us to really get back to the high. So yeah, I think the we're more in the kind of phase of the market where The equity market is broadening out. The money's not necessarily leaving the market. It's just rotating to laggards and other areas, which generally, I think, reflects the risk on. So, yeah, I think broadly, equity outlook is fine. But on the semi-specifically, I think we, in terms of our position, we're keeping some of the exposure, but we've really been rotating to more of kind of the value laggards that's been kind of popular in the portfolio in July, right? So, you know, only energy, only financials, only healthcare, those have been.

pretty important as kind of more portfolio balanced. Tell me about the LPPL exhaustion signals. Remind me what that stands for. What were the signals you got a month, two months ago about there's too much risk, too much leverage in Korea exhaustion? And also do the signals work the other way? Are you getting bullish LPPL signals or do they only work on the downside? But they should work both ways. So LPPL stands for Log Periodic Power Law. bubble and crash detection system. So it's kind of designed to kind of get you that final OF leg of the move that typically is not obvious, right? It's more like after something has been moving exponentially for a while, it looks like it's stable. But then because inherently of like just the way markets were forced price action, there's always that final leg. Like recently we had it on China for example, right? China sold off, sold off, sold off, just kept going lower.

in May, April, it looked like it was bottoming that you have a final OF leg in June. And then it was in June that all the LPPL buy signals went off. Similarly on the semi, you know, when it was rallying up in April, in May, mid-May, it kind of was like, wow, this is a bit much, but then it has that final leg up, and then it triggers the model. So it's kind of designed to catch these log periodic power law waves. So you can think of these as just essentially a pattern matching. model. But it's really looking for not just things to be exponential, but that the kind of wave pattern the market speeds up as it's going exponential. And that's typically what you see at the end of these exhaustion moves. So you kind of saw a bunch of these from the beginning of June as we were kind of making the new highs. And so typically, these are more tactical models. They typically are good for the

next month. So they're not necessarily long term models, but they give you a sense of when things are extreme.

to faith, right? So the most recent has been obviously all the semi-AI related cells and then the China, you know, Indonesia, a lot of these laggard, you know, buy things we've been writing about. And so obviously you've had that convergence. Yeah. So I would think of it very much as a tactical model to compliment your kind of medium term views. In practice, the way we would use it is you have thematic investments or stocks or concepts you like, that's really about next three to six months. And you use LPPL to help people with timing in and out. and for managing exposure around it. And are you getting LPPL exhaustions to the downside indicating bottoms in semis in NASDAQ or no, not yet? It's not. You're getting a little bit more the intraday. So obviously on the hourly 15-minute, there was a bunch of those yesterday. So I think that would fit into the kind of situational awareness, like this short-term liquidation. But for the daily frequency, the medium-term, you're not quite that yet.

So I would say you've gone from like extremely crowded on the long side to now clearly it's uncrowded, but not extremely so. You said agentic AI is kind of over as a growth factor of the semiconductor AI trade. Tell me about why you said that. I think we think of investing as partially trying to understand. So I caused a lot of this about playing the game, right? You've got to understand the narrative. It's like an S-curve, right? Like the narrative diffuses our narrative starts somewhere. And it diffuses out. Lots of people stop participating. And then everybody knows it. By the time everyone knows it, we have to ask, what's the next narrative? So I think the AI trade has been capitalized by multiple legs of suddenly a new narrative takes hold, and it slowly bleeds out to everyone. But by the time everybody's aware of it and understands the thesis, usually it's pretty late in the game. And so every time you get these big, outside moves to new highs, you need a new narrative. And I think the The Agenic AI was obviously going back to December last year. It was clawed code, and these, oh, wow, agents is new. And then suddenly people start figuring out, OK, what are the implications in terms of, OK, there's all these new bottlenecks, because we need way more compute, way more of these things than anyone expected. So the bottlenecks and all these things start working really well as

investments. And then what we saw with the blow off top was these things start to exhaust. The prices are telling you this narrative is well known in the long and good reacts. You've had multiple you know, if you think all the way back to when Broadcom had earnings, right? And then subsequent in multiple companies, obviously Micron has taken all of these and it stops reacting. That's just telling you it's kind of, yeah, I think market is generally going to top before the fundamentals change before the annual earnings move. So I think we're at that stage and we just sat around waiting for where the next leg of the narrative is. And until you have that, I think it's more I'm not saying it's going to crash. I think AI is real. It's just more it's going to be dead money for a while. I think of what Bitcoin has done since 2025, right? Or what Gold's done this year after the crash. It just stops doing anything. And I think that's more the, it feels like where we are. So what's that dead money right now to you? Like it depends on like what your mandate is. I would say if you give me any trade within global macro equities, everything live right now, we really like buying a Sonya future. So betting on the bank of being going to be less hawkish, right? Like UK has really high rates, but there's lots of growth and inflation downside risks. So it's a pretty big outlier. So I think that's like the cleanest thing live today. We don't have onshore Swiss EM, but as we're recording this, like the BFJ seem to be eating overnight. So I think that's slightly done for now. And then within equity space in terms of how we're positioned, if you look at our VPX ETF, we're basically running a barbell of long energy, long financials. And we're actually starting to buy back into the tech and semi-names as Crash. So I think we had a pretty big loan all the way into May. We de-risked a little bit, but that definitely has her performance a bit, but it's been offset by the energy and financials piece. So we still have this barbell of you have value exposure with a little bit of the secular growth, but you're just tweaking that just so your portfolio overall has a better risk-return profile.

Why financials why energy and why did you say a few minutes ago that the the macro is fundamentally risk-on for equities? Why is that the case? Yeah, so the way our macro risk models work is that it's basically a bunch of Decision trees right that tries to understand macro causality. So it's like lots of decision trees that goes through things like How is our US growth lead indicator? And how is our China growth lead indicator? And how is policy?

So it's asking a bunch of these questions. And right now, what it's saying is, yes, inflation is high. Iran has been a problem. So as a result, the inflation component is no longer very risk-on. It's going to constrain policy. But there's no real reason for central banks to hike aggressively. Growth lead indicator is broadly OK.

And liquidity on our models are still fine, right? There's a long lead lag from when liquidity titans to when it actually hits. So that's kind of more like that. Again, there's lots and lots of decision trees that come through the model. It's a gradient booster model. But basically, if you know everything I was kind of telling you, growth is still fine. It's not amazing, not terrible, but fine. Yes, inflation is high, but not overly so. This isn't like 22. On the policy front, people are overly worried about big tightening cycles everywhere. Obviously, we have, you know, the Fed this week, right? They didn't hike. Now, August is no meeting. Again, are they going to really try and force a hike, like, mid-September, so close to midterms, right? So, again, I think it's probably unlikely. So, again, policy is not a huge problem. And then liquidity, yeah, the fact that equities are broadening out, you look at value line arithmetic, the average stock's making high, high, high, low. That's typically not, we would expect to see if there's truly a lack of liquidity and net money going into equity markets. So, yeah, so high level, that's why I think that the macro is pretty risk on.

In terms of signposts for what end of cycles look like, there's two key things we've seen out all the major generational tops. If you go back to Nifty 50 in the 70s, .com, 1929, the two consistent top-down things is one is that monetary policy has generally been tightening for 69 months, right? So we don't quite have that. Obviously, if the wash bed does start hiking, then clearly that starts the clock ticking. But generally, you have multi-policy tightening for six to nine months. While they're tightening, you see equity breath narrow. And the definition is why I mentioned value line arithmetic with these median stock. The median stock stops going up. It stops making high, high, high lows. But the concept stocks keep going up. Generally, when you see those and you see those for six to nine months, that's generally been the absolute peak of the generational cycle.

And what's very interesting is they were generally lined up with big events, right? So AOL, Time Warner, these kind of major events people talk about. And obviously, we have a few candidates this time around, right? And Frappi will try to IPO October, but maybe OpenAI is going to be like the single most important company in the world right now. If they try and get the IPO off, maybe it's end of the year, maybe it's Q127, that could be the moment, right? That marks potentially the top that might line up with when. these macro factors in place. So I think it is like our models are telling us things are fine. When we've studied history of thought about it, we're like, okay, these are the signposts. If we stop seeing it, we need to stop being careful. The model might not understand the nuances, but right now we don't have those signs and the model is still fine. So broadly it remains risk-on. Well, Brett, in terms of how many stocks are going up and doing well, Brett has been extremely good, like even though the semiconductor space in NASDAQ has kind of melted down over the past month and a half, the S&P has really held in there much more than I would have thought had you told me there'd be such a, you know, literally a bear market in the NASDAQ, and we're down to like 20%. Yeah, and like I said, I think broadly though, not only are models saying it's risk on, you have lots of confirming data points, right? If you look at credit spreads, especially adjusted for sovereign risk premiums, credit spreads in like a normal range. It's not super low, super high. Savings rates remain very low. So, you know, like from a collective levy point of view, like money's just flowing around the economy, one person spending someone else's income, right? Just going around. So, yeah, there's been a lot of insider buying, right? Despite all these things, there's like a flood of insider buying globally.

across lots of different stocks. So yeah, these are not what you typically see at the imminent top. You know, we did our exercise before, right? We have this market top checklist that we run through periodically from all the different factors like behavioral, corporate, economic. And really when you run through the market top checklist, it's more like an amber warning. Like what is excessive is the corporate behavior, right? The circular financing and videos basically like behind every has to prop up everything else, right? Because you know, there's a struggle for credit, right? CBS is widening the hyperscale and so forth. So you see some of those signs. You see some of the retail excesses, like with career, you know, with with like kind of the

news guru investors, obviously, you know, just because it is a live news, right? Because I'm the Leopold, the fact that, you know, my Chinese cousin might know who he is, right?

like, you know, these kind of things. So those were kind of the red alerts, but you were missing the economy, right? The economy wasn't slowing down, right? You were missing the market internals, right? Like those were the things that you typically see. So at the top, you need to see all these things lined up. And we really in aggregate more have like amber warnings, that kind of full reds at the moment. Why did the economy hold up? Why the price of oil going to 120 bucks, gas going up so much in the US, in Europe, it being even worse? Why has the economy held up has the economy held up? That's my first question. Yeah, I think well our models has been fine again It's not too hot not too cold. We would say somewhere between one and a half to two probably closer to 2% real growth in the US Well, obviously everyone knows answer, right? It's AI AI capex that that's been one piece That that's been helpful But the way I frame is this idea of like I mentioned collecting levy right this idea of one person saving is somebody else's income that isn't that wasn't realized. So one plus the spending is very important because the more you spend, the more that somebody else's income and they can spend, and economy works because money flows. So what we've actually observed is that for the corporate sector as a whole, there's obviously a lot of capex, a lot of investment. So corporates are dissaving. That's providing a net income to everyone else. At the same time, the fiscal side, tariff refunds, right, OBBA for unloading, again, fiscal ended up not being that bad, right? Our best neutral, if not even slightly of a positive impulse. So again, that's providing net income to other people. And then at the same time, there's all these concerns about, oh yeah, K shaped consumer, like, oh, you know, delinquencies are bad, all these things. But the key is household savings remain low. Now you can argue it's dystopian, lower income consumers can't save, they're living paycheck to paycheck. But what's happening is they're getting a lot of, they're getting maybe multiple jobs.

and what income they get, they spend. So the savings rate remains low. So if everybody's savings rate is low and going down, that's somebody else's income, it just keeps flowing. And I think that's basically been the case for

the economy. And that's still basically the case right now. Like the time to worry is when people start saving more. So for example, if suddenly the hyperscalers go, right, we're going to cut CapEx, that's at the margin of more saving from corporates, that's bad. That's when, well, Tian, Tian, you know, Meta reported Microsoft reported meta basic. They raised their capex but the range just a tiny bit I would say it's a very anemic raise and then Microsoft literally held their capex guidance flat and so what do you what do when companies are raising capex and capex and Then what do they have to do before they cut capex is they keep it flat? So I'd say that's not even though the semiconductor stocks are one of the biggest days Today in the rally and you know technically in my personal portfolio like I guess is a very very good day But I guess the the reaction is a lot better than I would have thought based on the CapEx from Microsoft and Meta. Right. So I agree. But I think we got to think of it. What makes this cycle slightly different, I would say, to when people think of railway, mania, or dot-com, is there's tend to be more heavily private sector only driven. Whereas, obviously, we have this, I think, even when I spoke to you previously, we've been talked about. We have this whole five to 10-year theme for investing called essentially the privacy of sovereignty.

Sovereignty is the most important lens in which to think about every investment decision. There's a existential US-China competition going on in all the kind of key pillars of sovereignty from energy to manufacturing to technology. So what makes this cycle tricky is even if you fully exhaust the private sector's ability to fund the carpets, the government will find ways to try and step in. And you see the heavy involvement of the Ministry of Defense. or I guess the Department of War, right? Like you can see lots of government involvement in all these sovereignty pillars, right? And that will keep going and they will backstop and try and facilitate financing if the private sector starts to exhaust. And in a way, it's just mirroring what China does, right? You can think of it as there's a national balance sheet. Just like in China, people are very comfortable with idea, okay, the Chinese business and Chinese government are saying the same thing. So you can view as a national balance sheet and they use it or in the same way the US needs to do the same. The Mac 7, and the US Treasury, that's one balance sheet that needs to be used to facilitate this build-out, right, to ensure the US's sovereignty, right? It does not have huge dependence. So I think that's the

part that's trickier that will keep the kind of carpets out going longer than people expect. But for sure, right? At the margin, the first sign would be these guys slowing down. Yeah. I mean, I will say the backstop that Nvidia is providing, it does seem like the companies are going to use that. And I think I mean, I think CapEx is going to go up by a lot over the next 18 months. Yeah. And I think that's the thing where it's very easy to have an initial dismissal of circular finance. But fundamentally, circular finance is no different in my mind to any other forms of financing on the way up. And that's the key on the way up. So, you know, we talk a lot about this, you know, I'm a big fan of Perry Merlin's work, right? Let me do it. Like, obviously, I think you've, you know, he obviously, he's not super.

Frequent guests on shows, but obviously Pirazzi shows up, but the core idea is the hierarchy of money. So the core idea of the hierarchy of money is the quality of money matters only in the downside, only when things are turning down. When things are good, transactions can be settled by whatever people willing to accept. It doesn't matter what power value is, it doesn't matter anything else. So if we're in the upcycle, people are willing to accept. and videos backing or except compute, whatever, whatever things are not cash like, it's fine. The problem is when you start to see the first signs that people demand cash settlement. At some point, we're going to turn around and go, right, we need cash settlement for these things. And that's when all the kind of like transactions that were built on these pledge things start to unwind, right? I mean, you see in the credit space, right, payment in kind instead of forcing cash settlement. There's lots of these things. So I think as long as the cycle is turning up, that's all fine.

But the more and more we start to see the demand for cash settlement, it starts becoming a bit more of a concern. And that's why these mega IPOs matter, right? Because SpaceX, the first one, is like, hey, we need cash settlement. We can't just take stock or other things. We want to start seeing cash. And then as more and more of these come in, that will start to, I think, potentially create downside risks. 10, have you ever seen a stock trade as badly as SpaceX from the IPO? It literally goes down every single day. And it's funny. I think if you had asked, you know, 10 financial pundits, how do you think SpaceX trades? I think many of them, you know, my partner, Max said, Oh, well, there's so much, the unlock is ridiculous. There's going to be

so much selling. It's not going to do well at all. And normally, like some of the times the pundits are, you know, that's too easy. It's too easy, but like literally it's SpaceX just goes down every single day and it's still not cheap by any metrics.

And I mean, literally, okay, if, if data centers in space are going to be a thing, like by silver, you know, like, because the data centers need more, way more silver in space and they can't, they have to disintegrate when they go back into the earth. So they can't be recycled, which is key for silver. So like, I think, like, if you're going to have some ridiculous thing about data centers in space, which is probably is going to happen in like 20 to 50 years, I don't know about five or 10, then like, there's a lot of other ways to play it. And it just seems. Very, very speculative. I don't know. And just broadly, how concerned are you about these mega IPOs that are requiring tons of capital to be spent and basically be sucked out of the market? People have to sell NVIDIA to buy SpaceX. That's just a fact. And when Anthropic and OpenAI go public, if they do, which they probably will, you know, people have to sell more NVIDIA. I guess the first thing is, I guess what you're saying on the, you know, like when all the experts agree something else happens, right? That's like the very famous Bob Farrell.

And, you know, we saw that with oil, for example, every oil expert agrees and something else happened. So I think typically those things happen because humans and markets are not good at pricing kind of the reflexivity, the second-order path dependence. It's very good at pricing first order and seeing it. But we tend to miss the second order, which is when everybody sees it, it tends to be a policy reaction, right? That shifts things. And so I think that's my mental model for why when all the experts agree on something macro, It often doesn't work because there's this policy shift from the policy makers that suddenly change the dynamics. But on something like the IPO lockup is, it's very unlikely for there to be a policy shift. It's very unlikely the Fed or whoever's going to look at space has going down and decide to change. So then maybe that's why. If you think back to my Facebook at the time, IPO, after a while, it's just down, down, down, down.

Yeah, I'm with you. I've been surprised, though, how on time it's been. You expect all the book runners to do a good job and pump it, which they do. And then the passive index buyers bid it, which they do. And then the unlocks really start in July, and they do, and it just starts going. But like I said, I think there's no second order reflexive kind of shifting behavior that results. versus a lot of those other examples, which is probably why it's carrying on. How low can it go? I don't know. But maybe 80 is an okay level. What is the floor? There's no valuation floor. I'm a fundamental guy in deep of my heart. There's no valuation floor. The space business loses money. The Starlink business makes a lot of money, but then they're spending so much money on the data center business, which is a new thing. And look, Elon Musk is the best hardware person in the world. I'm not gonna bet against him there, but it's just, there's nothing in the numbers to say, oh my God, yeah, 70, it can't go below 70. Once it hits 70, it's cheap, like no way. Maybe seven. I guess it's a trading vehicle, right? Yeah. But I've learned my lesson on looking at Tesla. If you look at the amount of people that got burned both long and short on Tesla, it's kind of like.

True. And yeah, Tesla's fundamentals have gotten worse, like literally revenue declines in some sectors, literally cars. And the stock has been flat to moderately up. Robots. Yeah, it's humanoid robots. Right? Like, that's the thing. So too hard. Yeah. So, Tien, how do you think about oil? So we've actually, we're running a pretty big overlay on energy right now, but we actually have not until about May. So we did get a little bit on the May leg and it's been doing okay. I think it is like, I don't really need all prices go up to justify the fundamentals here, right? Crack spread is super wide. As long as you own like the integrators, the refiners, they should be making hay and printing money. And just please, please just don't do dumb things and destroy it. Just like returning to shareholders, buy back shares free cash flow. And obviously it's a very natural portfolio balance, right? Like it's the one thing that's going to break. It's going to be a prolonged inflation slash stock inflation scare.

that keeps longer annual tie. And longer annual tie is not good, because everything else we discussed ultimately, there's a lot of carpets of finance. And so I think it's so to the extent you have equity risks, which basically just AI risk, this becomes like a really obvious kind of ballast against that,

right? So that's probably the more the way I think about it right now. In terms of the Iran war, It's funny, I think on the eve of the war, I actually spoke with Max. I think we'll record this, but they also have to have some hot takes and stuff. But I would say, I think the China-U.S. trade war is a very good template for how the politics of it goes. When the U.S. and China reach that phase one trade deal, in 2019, 2020, whatever they announced it, that was basically as good as it got because the fundamental issue is irresolvable from both sides. And Iran and the US are the same. The fundamentals thing both sides want is just not possible, right? It's irresolvable. So I think the MOU is kind of that phase one trade deal that you both agree that you see where the ledges and neither side wants to jump. But from there, you know, you can't really close the gap. So then you go for a period of both sides overplaying their cards a little bit, thinking you have leverage.

But the reality is like it's not a closeable gap. Yes. I agree. If you look at US, Israel, and Iran, there's nothing in the world that could satisfy all three parties, nothing at all. 40 years. You were supposed to fix 40 years of issues in half a million weeks and months. I would say it's probably more the second order. I mean, something that's probably under-talked about was the Saudi Arabian nuclear deal that got announced. Like those things are really norm-breaking. And like, I think it's just like, this is where I think the Trump administration's pragmatism could really have some long-term actual consequences, right? Like you're injecting a lot of these things that are breaking how the region operates normally. And so, yeah, like, you know, if you're the reigning thing that deal, like what incentive do you have to give in? Yes. And also I think that the conditions that the US and Israel initially demanded of Iran of literally no enrichment at all, That is something that extremely few countries have ever agreed to like I think maybe the UAE or Bahrain like like being able to you know Enrich uranium to to have nuclear energy is kind of a a right of something of a country and it is it is kind of an extreme demand to make as Iran has made various extreme demands of two of course How do you think the UAE kills today seeing the Saudi deal when as you say they sign something in 2014? Yeah there's a lot of dynamics that I think is so broken in the region. So I guess as investors, we should just be prepared that there's just going to be more sovereign supply chains, sovereign link shocks, right? To your

portfolio. So like, that's going to be the, that's probably like the new risk of defensive asset. It's not going to be hiding out in consumer staples. So where should you hide out? Sorry, what do you mean? Yeah. So I think you're going to, I think all the geopolitical shifts just means that There's the likelihood supply side shocks is so much greater, right? Just like it's going to be a lot easier to have more supply side shocks that affects obviously very optimized supply chains that you just have random things go up, right? And these are generally going to be various forms of resources of some kind, right? You just you just keep shifting the world's politics and That's more likely where the shocks are so if you live in a world where you expect most of your shocks to be these supply side shocks then you know, the traditional definition of security defensive or what your portfolio bias looks like doesn't work, right? Because tradition, you're like, hey, I hide out in bonds, nominal bonds, and I hide out in names like staples, right? All these are going to get hurt if you have like stagflation type of setup, right? So I think that's like a pretty meaningful regime shift in how markets operate. Yes. But don't you feel like at least in the United States, there have been fewer supply shocks?

that have actually impacted markets, maybe less than we would deserve. Like given what the US has done in Iran, I would have thought that the US economy would have been impacted a lot more, but it does seem like we are in, you know, separated by two oceans and we have this immense natural gas and oil reserve in Texas. Like, I don't know. It seems like the global oil markets are functioning better without the straight of her moves than I would have thought and everyone would have thought. Yeah, I think. Back in March, when we did our scenario analysis on the economies, we thought for the US, it's like WTI, we need to get to 120 to be the tipping point for recession. And that happened for like a few days, but not a long time. We would need to average, essentially average 120 for the rest of the year to get you to recession or else the same. Obviously, that's a big assumption there. Whereas for example, in Europe, it's somewhere between like 110 to 120 Brent. If you average that, it's like.

at the tipping point right so like there's like different sensitivities to your point because of these natural advantages and you know and how much redundancy there is but yeah we've seen clearly a lot of reserves got

released I think we're all being surprised by China's role I don't know why China would be willing to do that but I think it's probably pragmatic right you can see China's like was managing their refinery runs right they stopped exports refined products and now they're just managing that so it's probably not altruistic yes and I think that China has a huge stockpile of Petroleum reserves and they were willing to draw that down so so but I think that that we shouldn't Let that let that excuse be for complacency like the yeah, we were saved by stockpiles going down around the world particularly in China, but that's that Number one that we can't rely on that forever and number two. It has to be replaced So like theoretically the the oil Straight up from whose could be solved tomorrow, but over the next two years We're in a structurally bull market in oil because China's buying back all the oil So I think the whole point of the reserves are like a one-off supply buffer. I don't think it's going to be such a strong bid to push up prices. The whole point of reserves, you just wait until prices are so bad that you step in and you just get filled. But I think the China definitely is real because I remember the last two or three years, people kept asking me, do you think China is trying to make a move on Taiwan? Because people are looking at China's oil. They're like, the economy is doing so badly. Why are they buying so much oil?

Right. Like, like literally nonstop. I guess now we're doing for the tanks that needed for the planes. Yeah. Yeah. Right. Like, remember that? Like the nonstop talk of my man. Look how bad the organic demand is. Why are they buying so much? They're stockpiling so much, so much, so much. Yeah. It turns out like it's more probably more it's to be resilient in a, in a world of just lots of shocks. What do you think about the Chinese economy and Chinese stocks particularly? I think people keep making the same mistake on China. Like, I don't think China's coming back in terms of consumer. China remains the export-oriented. Again, the overarching lens is primacy of sovereignty. It's an existential competition between the US and China. China will be prioritizing manufacturing technology, all the things the industrial policy needs. That necessarily crowds out your household sector because credit resources are funneled towards the geopolitical sovereign priorities. So your household sectors, by definition, crowded out. They just have to make sure things don't get so bad for the household.

But I think that's really bad to buffer it and put backstop. We had a party bro meeting July and nothing happened. I look at these luxury good company earnings results and they're like, oh, yeah, but maybe China's coming. I'm like, I don't think it's coming back. Yeah. The growth factor for LVMH and all these luxury European brands was China was growing at like 30% year-over-year. Now it's flat to down contracting very bad. But within China, the domestic consumption has always been weak. So that's not new. Yeah. And it's because China's been executing the sovereign thing for like 10, 15 years, right? They prioritize industry and tech that necessarily crowds out your household sector. And so the household sector generally is under more pressure as they can't consume as much. And now house prices are down so much. Like, yeah, I mean, basically, like we all know real estate value is how people's wealth. If real estate value is down so much, how are you going to get people to feel 30% richer overnight?

you're gonna have to, let's say they revalue the R&B, suddenly we wake up tomorrow, dollar R&B is a five, a four, like crazy appreciation overnight. Then sure, then maybe the Chinese suddenly feel a lot richer in dollar terms, they're gonna stop buying stuff globally, and then we can have a bit of a rebound. But again, that's very, very unlikely, right? China doesn't do things like that under the current regime, right? There's no big shock policy. So yeah. And yes, obviously, could you have like sectors that do well, of course, if the government's behind them? Like, yeah, you can get cycles. Like I say, we had those LPB absorptions in June. So there's always tactical trading opportunities. I think Chinese tech, China's AI, Chinese biotech, like certain things, China has a lot of potential. But yeah, I think if you want the narrative to shift on China, you know, we've had this story, oh, they're going to do fiscal, they're going to do these. But fundamentally, You can see China is focused on supply side. It's focused on geopolitical priorities. And it's going to be very hard to see how we shift from that, which means they're going to have to just export. And you export because you want people to stay employed to have jobs. That's just the most fundamental thing on. And I don't think that's going to change for the foreseeable future. Like I say, if we wait for one day to do a big reval, I'll be buying Chinese equity consumers of hand over fist. But it's very hard to see at the moment.

What about the key drivers for corporate profitability, mainly the big stocks, Alibaba, Tencent, Maituan, Pinduoduo, basically all these online retailers, the Amazons of China have been killing each other because they've been competing on price so much. And the government keeps on saying anti-involution, anti-involution, we're going to encourage our companies to actually stop fighting each other like Japanese fighting fish or Chinese fighting fish. But it never really does seem to happen. Do you see any policy changes there of like, oh, actually, we need to get Alibaba's profits up. We need to get 10 cents profits up because we need to stop having a financial crisis or no. Do you think this all talk? I think it's clearly something you should do at a margin. But the fundamental issue is, do you have enough domestic demand for all these things? And fundamentally, the issue is, there's not enough demand.

yet, because you're worried about employment, you don't want these companies to truly shrink, right? The way you would truly shrink, yeah, if all the companies start firing tons of people and cutting costs, then, yeah, you can get a restoration, but the government doesn't want that, right? And that applies to every part of the Chinese economy, I think. And I think that's the real tension. So if your priority is jobs, it's very hard to solve the involution, I think, because you need to cut actual supply, right? Down to where the demand is. Because you don't want to do that, you have excess of supply versus domestic demand as you export. And everything is by excess. So yeah, I think they can try things in the margin, but it's a bit like the Japan or these things, right? There's like a global macro balance. And like, you have to solve the breaking point issue. And I think on China, the critical breaking point issue is the importance of employment, which is a supply side issue in China.

What do you think of Chinese AI? So that's the publicly traded AI model companies, which we actually don't have. You know, ours are publicly traded, really. That's the Chinese semiconductor chain. That's the cloud providers like Alibaba, which, you know, also owns Moonshot and owns whatever. Are these, are these investable? What do you think? I think it depends on who you are. If you're like a Western minority shareholder, like, you know, you have to decide what your risks are, right? But yeah. But yeah, you look like the CXMT, the memory IPO. Yeah, you are local

government. You're like a SOE state backed private active venture fund. You're making out great, right? So I think it depends a little bit on who you are and if you have access, I think, in terms of how investable. I would say in general, for Western investors, it's probably not super obvious that you're first in line to get access.

Clearly, I think the impact is more broader that is moving us away from the kind of frontier labs, right? Close model, right? That's clearly helping to accelerate kind of price compression. Essentially, China's doing the work to accelerate Germany's paradox to ultimately get more people to use it. But in terms of how that profit pool is split, like China, when China enters the industry, generally it destroys the profit pool, right? That's happened like, and everything. And I think that's a little bit of the problem here. Yeah, totally. I mean, just like, if you look at Alibaba's AI cloud revenue, it actually is growing at triple digits, but it is so low compared to Google, Amazon, or, you know, Microsoft, what they're charging open AI Anthropics. So it's just like, in China, just things are just so cheap and absolutely. China is where profits go to die. Yeah, but it's But again, you've got to think of it as a sovereign balance sheet. It's a national balance sheet. And then they want to make sure they win market share in the rest of the world. So I think what China is exceptional at is obviously taking new things, adapting them, commercializing them, and then trying to win share. And I think they're doing the same playbook here. So they're going to try to just way better commercializing, gaining share, and meeting customer needs at low cost. They've done that in manufacturing all these things. And I think that's what they're doing.

with obviously the focus on open way, right? Make sure that people locked in, or not locked in, but essentially that people are not locked into the US, right? In a way, if you view it for the sovereign lands, I think things make much more sense. China does not want the rest of the world to be locked into the US, especially in closed way. So as long as China fully commits to open way and makes these breakthroughs, the rest of the world obviously will pick China. And in fact, in the end game is the US have to catch up and also commit to open way. Maybe. There's also the hope that companies in Europe are going to use anthropic and open AI and pay more because they don't trust China. And that is kind of what happened in software. You know,

right? People use Microsoft and I'm sure there's like a Singaporean version of Microsoft word that's cheaper, but people still use Microsoft. I think of it a few different ways. So I think we have to obviously guess what the end state of the market looks like. I think essentially you're going to have three tiers, right? Like the way I would describe it is you have a 150 IQ mass market tier.

That's like open way, cheapest, lowest marginal cost. Everybody can have access. Good for consumer. You probably have 150 to 200 IQ range. That's for small businesses like ours, right? For business adoption, speed up, lots of processes, right? And it's very good at that. And then like the 200 IQ plus is for governments, big business. The rest of us, no chance of touching it, right? And that's like the new growth part. The enterprise part is what eats the profit pool of horizontal SaaS, whatever, consulting. or the middle layer. That is the profit pool. The consumer tier is very hard to make money because it'll be open and then the top is where the money is made. But that's a much smaller, I think, addressable market. So that's in my mind how the end state looks. So if that's the end state and you work backwards, like why do companies like Microsoft succeed? I think it's more to your point the trust is because they have the complementary assets because you trust them with your data and their cloud. So yes, there's going to certainly be that for companies that don't have great in-house tech talent, then clearly if I'm on the Google Microsoft ecosystem, I'll stick with them if the price difference is not too big. But even then, you can see that everyone's building harnesses. So you can be on Microsoft. Microsoft can plug you into whatever open source, open-way model you want. So that's another shift that you're not going to be tied in. That's the big shift as well. And also, another big trend is clearly on-premise, where people are taking open-way, deploying their on-premise, keeping their data on-premise.

I would say the biggest development of the last couple of months is just the sheer pushback against US Frontier Labs from US businesses. I heard the story like the hugging face founder or someone was protesting open AI this weekend. I think that that's a reflection of the shift that I think people don't want to just give all their data over to Frontier Labs have to pay off everything that there's a clear desire to optimize spend. In terms of what you said, I do agree, like if you look at the hyperscalers, they will ultimately

be okay, right? Your Apple's, Microsoft Google's, you have to complimentary asset, you have to customer trust, you can plug in and out whatever model people want to use. But that doesn't mean the Chinese models won't have a compressing effect on pricing. That's a profit pool. And Tien, how is that not a case that this ultimately will be a bubble? You know, like, look.

I've been bullish on semiconductors I still am but I'm just just saying like ultimately that this will end in a in a bubble that will burst because literally I mean I heard Sam Altman on a podcast and he's still talking about intelligence as a commodity and how it's going to be like a utility and I'm like dude you cannot be talking about something that costs trillions of dollars basically to make as a commodity like you know a con-ed and all these You know utilities that they're granted a monopoly by the government and they spend a lot of money on capex But nowhere near what you're spending like I think that I don't know you the word commodity Maybe on the west coast people don't think of that very negatively But on the east coast all these investors in public markets like I don't know he should stop saying that word but but but like if If it really is a commodity then the ultimate pricing power is not strong at all like what is the moat and and and then You know It's going to be a bubble that is not defensible. Basically, I'm not saying that that's going to happen tomorrow. In fact, I don't think it will happen tomorrow. But how is that not where we end up? Well, I think that's where the tiering matters. I think your 200 plus IQ is not a commodity. The 150, 200 is also not that obvious a commodity. That will need deployments of human AI loops to get it to work. But yeah, I think for the 150 IQ AI, that we all use day to day for everything in our daily workflow. I think that's the part that goes away. So yeah, that obviously affects the consumer application side, right? I think that part's probably the most vulnerable. But I mean, again, I think with all these things, it's like the Charlie Muller inverter problem, right? So I think, you know, we'll be eternally debasing this and challenging on like, you inverter problem. What's like the opposite case? And I think the most compelling was my colleague, Ben, as she mentioned.

this idea of, yeah, if we suddenly need to move on to modeling, like, you know, doing world simulations, right? Like, modeling real-world physics,

right? These are all things that matter for robotics and real-world interaction. That's a heck of a lot more data you've got to collect and process and use. Suddenly, you need a lot more training, a lot more inference. That's potentially one thing that can keep this going for a while. You know, if we get genuine breakthrough on, like, reinforcement learning, right? Like, I think there's a lot of debate because Fundamentally, one of the bottlenecks, we've run out of data. So we're supposed to generate, the models need to generate their own data to start the self-improvement cycle. So far, there's pretty limited evidence of that, but that's possible. Because that would obviously unblock the hardware software data loop to start again. So there are things that I think Again, you'll need some kind of Claude code like in December 20th by moment, when we suddenly will wake up going, oh, wow, this was actually a breakthrough and then the next leg comes in. But I think until then it's probably more just dead money. Like I said, I don't think it's over, right? It's just, yeah, we don't have a narrative that people can hold on to to drive the kind of next leg. What is your recommended allocation towards US versus foreign stocks?

And it sounds like you're not in love with China, the Chinese equity market. Like what foreign markets do you like in terms of equities? No, we still like Latin, but I think I feel like I say that every time I come on your show. Yeah, it's true, true. But like Brazil has elections coming up in October, so maybe like, you know, there'll be some wobbles around that. Yeah, so we like Latin, we like the Americas basically. I'm skeptical on the Europe. I think Europe feels very contrarian, but you know, it's exposed to energy crisis, right? It's got a lot of regulatory issues to deal with. a good long-term client might always used to make this joke about, you know, you want to go to Europe on holiday, but you need to get all your work done in the US. I think, yes, until Europe overcomes a lot of these regulatory energy issues, it's going to be tough, right? Plus like the Chinese exports is just everywhere in Europe, right? You don't have to travel very far to see Chinese electric vehicles. You know, I think potentially Chinese air con, I think it's a thing that might be coming to Europe. So I think that that's what's a pretty limiting for European assets. So, yeah, we still generally like the Americas still, ultimately. And what about India, Taiwan, Korea, other, you know. So I think India sold off a lot that I know people are starting looking. I personally pretty skeptical of India as an allocation just because

one valuations are obviously cheap but fundamentally again with that sovereignty lens.

I think India is caught between China and the U.S. and it's going to get hit with a stick by both, whereas LATAM is going to be the carrot. So I think India's... I don't think the U.S. wants to allow India's rise because they don't want to make the same mistake they did with China. So I don't think the U.S. is going to be very supportive of any Indian initiatives. You know, India wants to do manufacturing. I don't think U.S. is going to support any of that, at least the Trump administration has not been. Equally, obviously, for China, India are gaining a foothold in manufacturing any of these things that direct threat. So yes, maybe China and India has some cooperation on doing a BRICS currency, things as a margin. But I think India is actually caught between China and the US because it could be enough of a threat if left alone. And I think that's going to be real limitation. Sure, there's obviously a lot of real growth on the ground, maybe some of the banks. But I just think that that's a pretty big headwind. Whereas for Latin America, both China doesn't want to give up. The US needs to dominate it.

and they're doing it with carrots. But Indian growth is so high and corporate profitability is growing so much. Like it's like China, but it has capitalism and companies are allowed to make money. Yeah, like, you know, I think it's certainly sold off a lot. I'm just letting you know that my overarching thing is I really don't like India's geopolitical setup, right? It's extremely vulnerable there. And also, you know, it has one of the biggest weights for food. in terms of disinflation basket, right? We obviously live in a world with El Nino, a lot of disruption, so that's going to limit the RBI's ability to loosen policy. So I don't think the policy outlook in India looks particularly good, right? Rail rates and these things will be held up. Sure, of course, there's a lot of growth, yeah. Like, obviously, if you can get, like, some exposure, it's okay, right? I just think it's something that I will point to kind of, yeah, it feels too hard.

And if there's truly going to be money rotating away from Korea, then I will pick China of India, right? And then you've seen that this month, right? Does the lack of money truly go to India or is it just go to China? So it's like either AI keeps going in the money states and goes back into Korea,

Taiwan. But so far, the evidence of this month, when the money comes out, it's going to China. What about Japan? Yeah. So I think there's some interesting plays like, you know, companies like Nintendo and these I've looked at a lot. Like, so I've been thinking about all that. companies that have been hurt by the memory AI components, but that irreplaceable, having irreplaceable assets and modes. So some of those are kind of interesting. But ideally, I would like the Japanese government BLJ to resolve their currency issue. So today is obviously the first big one. Japan's macro situation is just so ridiculously untenable that it's just a joke.

Tokyo real estate prices are growing double digits, right? It's just like inflation everywhere, you know, shunt of wage rounds like 5% plus three years in a row, just like ridiculous amounts of inflation everywhere in Japan. And yet, obviously, BLJ hasn't done anything. And yet, Takehi's been going like full fiscal, right? So no wonder your currency is weak and yet you're trying to intervene. So guess what? That doesn't work. It's impossible. Trinity is the only way that works is you get your body, you know, better at the Treasury and the Fed to come help you. to give you some credibility, right? And that would be a plaza core type thing. So I think there's a non-zero risk of that happening. So I would like that shock to happen. And then I think Japan, the macro situation will resolve and it will be more interesting. So I'm looking at, his headline Japanese inflation is still low, like 1.7%. But you're saying that on the ground it's a lot higher. Yeah.

Well, like, if you look, they've been like, they have core, core, core, right? Like you, you ship out food and energy and you've stripped out these institutional factors. And by the way, that's like, uh, we're at the turning point for the base effects from the yen depreciation. So all the previous depreciation kicks in now as well. So from here, even mechanically, it will go up, but it's just more across the board. The real inflation is what's on the ground. Wages going up, real estate prices going up a lot. Yeah, people are struggling with cost of living, right? And so the way you're supposed to resolve all this is You need to get handled on FX, right? You need to stop depreciation. You're supposed to do that because Japanese pension funds are really money supposed to repatriate and buy back funds, right? And bring money back home to buy JGBs, right? At some point, JGBs rise enough that you're supposed to want to buy it. But these guys, it's like a

generation that's seeing Japan depreciate and turn around, right? You need something major to shift them out of their mindset. Otherwise, I don't think it's that easy to just flip around, right?

Again, why would they turn around they think they can just keep buying agency that right by high yield in the US Right this alternative. So it's gonna take a lot to flip that is us debt us treasury yields Let's say the US 10 year yield. Is that attractive to buy to a Japanese investor now? Relative to the Japanese 10 year if you take into account hedging cost isn't Japanese. It's not. Yeah, it's not. Yeah In theory, well, that's the argument all the macro guys have been making for ages, right? So, oh yeah, FX adjusted. JGBs give you like 200 basis points over, so why wouldn't you repatriate? But I'm just saying that the reality on the ground is you can see the numbers, right? They report pension fund buying and selling. Nobody wants to do that because you can get extra spread elsewhere. That's what I was saying. You can buy agency. You can buy credit. You can invest in US credit funds. You invest in US private credit, right? You don't have to go to treasuries when you do this.

Yeah, there's a reason that when Howard Marx is interviewed, he's often in Japan. He's raising money. Yeah, but it's because the Japanese, like they have a generation of institutional memory of like the yen only gets weaker because our policymakers can't get a hold on this. So like you need, I think you need to shock them out of that. You've done the first shock, right? You've broken the deflation mindset. That's clear. The next piece is you need to shock them out of the fact, okay, we're going to have like real monetary policy. I think if we do that, then suddenly I think it works. But again, this is where the, I think the tech actually fiscal makes it really complicated, right? Because interest expense is a big deal. It's the same thing ultimately that I think Walsh is tied to in the US. If you hike and you issue a lot of debt, it's going to mechanically force up interest expenses. And clearly that's limiting the BOJ. People say that a lot, Tian. When I first entered the business in 2019, people would say, no one could ever raise rates because there's so much debt.

But here we are six, seven years later and rates are higher. And yes, the overnight rate for Japan is only 1%, but the 30-year yield is very, very high.

And the sun still rises in the East. It's not impossible for rates to go up with the amount of high debt we have. And theoretically, you just say it actually could be justified because if there's more debt, there's a greater supply of debt. Well, it's about avoiding the supposed doom loop. So obviously, if you can walk it up whilst you can have economic fundamentals to justify it so that ultimately people still want to buy your debt, that's fine. I think the concern is more, if you're looking to massively boost your fiscal and then you hike into it and people are very focused on interest expenses, then basically your central bank has to step in and buy it up.

So yes, you can technically hike, but it's kind of self-defeating because if you hike and then you then need to do QE afterwards, it kind of like defeats it. And I think that's more the point. And obviously on the US case specifically, obviously they've been trying to reduce the duration of issuance. So obviously the more you crowd to the front, the more sensitive you've been. So yeah, I think ultimately I'm not a bomb. I don't believe in the whole bomb vigilante, they're going to lose control, right? Policy makers have lots of things they can force onto the bomb market controller, but you probably don't want to get to that point of genuinely explicit yoke of control, all these things, right? You don't really want to get to that point. So I think that's more what we're dealing with here. Do you say bond vigilantes? The US 30-year yield is now at the highest level since 2007, maybe 2006. What do you think happens to long-end rates, the treasury bond market? I think until Japan resolves that issue, Generally, there will be an upper bias for yields everywhere because Japan is kind of like, I think the lead indicator that they have the most broken fiscal versus monetary policy set up and flow set up. If you get some signs that stabilizes, that will allow the rest to stabilize. That's kind of more my mental model. So I don't see as a massive issue on the US or commentary on the US is more the Japanese are letting their yields go and yet they're trying to intervene the FX market. Most likely they have to sell US assets.

if they truly intervening. So I think it's more if Japan basically just hikes rates a lot, it will take the pressure off and resolve it. Otherwise, obviously the reason we're talking today is because the market is obviously trying to test Walsh, right? Because he didn't hike. And he came across probably a little bit smug in the press conference, right? So I think that might be why

the market is pushing a little bit. But ultimately, I think by the time we get to September, the data will probably give him give him some excuse not to do it. Like I say, US housing, US labor market, US small businesses, the data is all fairly muted and sideways. So I don't think it's that obvious he has to be forced to hike. The only thing that forces him to hike would be him basically trashing the Fed before for not hiking. And he's always said, the Fed is too dovish, the Fed is too dovish. And now it's his job and he's not hiking. It's like, how are you going to fight inflation if you don't raise interest rates?

Obviously, I know where the market is pricing. Obviously, a lot of the hawkish has been taken out overnight, a little bit on the front end. But the way I thought about it was I think he's doing something extremely important for basically the future of markets in general, which is you need to reform the Fed, full stop. The basic concept is money markets have stopped functioning as a signal because money markets became just whatever the Fed said and got priced. So restoring the functioning of money markets. removing the excess reserve regime, right? Allowing the market to actually do its job and provide a signal. I think that is so existentially important to restore credibility to market. It's way more important than 25 BIPs are here or there. So I think the nature of who he's picked for these task forces. And ultimately, I view it as him, you know, obviously Besson, they all work for Druckermiller, Druckermiller is on record the company, right? They've all expressed some concern with the post-GFC.

fiscal monetary policy mix, right? So I think if they truly can work together and resolve these longer-term issues, restore market functioning, that's way bigger a win than, are they going to do 25 bits here or there? But that means they need time, right? That's where the political capital should be spent, rather than, yeah, hiking now, hiking again in September. Why would you do that to risk pissing off the president ahead of the midterm when you know he's not wanting to hike rates? So I guess that's more the lens in which I've been looking at it, which is why I've generally been skeptical of hikes. But yeah, we'll see. What do you think of the metals? I think it's not clear what the catalyst for gold to rally is. I think gold's found the floor. It's just going to be sideways from here. The gold mine evaluations are pretty reasonable, but we're going to need central banks to start cutting for gold to

really take off. So until we get there, it's probably fine. I do think gold plays a portfolio role as your stagflation in terms of the multi-asset portfolio.

I still prefer having some gold instead of nominal bonds. You have some tips, some gold as your offset, again, to equity risk. I think that makes sense. The rest of the metals, yeah, I would say bullish exposure, especially, as I say, there's going to be more geopolitical shocks. So having upside exposure will make a difference. Yeah, it is interesting. I'm just looking. I think the gold close to the gold's top was when Kevin Warsh was nominated by Trump. And you could say that's gold pricing in a more hawkish Fed. But if the hawkish is just basically fake and he's not going to be that hawkish, maybe gold stops going down. I also think that's probably, I just think gold's moving January and February is nothing to do with fundamentals at all. It's just the end of a meme like trading where everybody Every retail every you know like my cousin like people's cousin, you know sister day trading at home, right? People got in and got out I just think it's similar to like I think that the semi move in May and June and July right people got in got long and Got levered and got destroyed on the way down Right. So signal is probably like where it was before like the end of dissent end of 25 was probably more like gold getting to a level that's reasonable Yeah, which is why it's like the 4,000 seems okay, right as a level Tell us about VPX, your Varying Perception Cycleware US Equity ETF. Yeah, so this is a long-goingly systematic strategy that's designed to be an alternative to your S&P allocation. So we created the product because, you know, for our super long-term money, we just want to be long US equities, right? But looking at S&P, we're a bit nervous about, you know, it's obviously 10 names are like half the index. It's obviously everything's on AI. And we wanted something a bit more active that can be balanced.

And using an ETF vehicle is very good because you can do a lot of frequent rebalancing in a tax-efficient manner. So we launched it in March. It utilizes our macro capital cycle quality, Crowley models. And touch word, but so far I think performance has been very, very good in terms of upside capture to downside capture. So this is more for long term. If you have some S&P, you're nervous, you can sell a bit of that and replace it with this. That's the short version. But essentially it's just large cab US equity allocation,

rotating between sectors and picking stocks. And what's the process for picking those stocks and sectors? So everything is systematic. So this is the combines every model we've built in the history of VP that we've used out of sample that has survived to now. So it starts off using basically our capital cycle models to drive sector tilts. And then once you have the sector tilts, you will then look at quality and crowding to essentially pick the stocks. And then after that, there's a macro and LPPL overlay to manage risks.

around it. Everything is combining to essentially a forecast return. So the difference between this and every other quant strategy I'm aware of is we take all our factors but try and turn it into a forecast return so that when we rebalance we're trying to maximize forecast return in the portfolio for the given amount of risk we expect. And I think it's subtly different from just ranking based on valuation, like a value factor or a quality factor. So yeah, so I think Obviously, there's not been that much track record since March, but it's so far, I think it's shown that we've survived the kind of factor meltdown. That's really hurt quantum funds this year very well, right? Yeah, you've definitely drastically outperformed the S&P since launch. So congratulations. To what do you attribute that in terms of more energy exposure, less software exposure? What would you say are the biggest drivers of that performance just in terms of kind of factor attribution? So I think it's been more factor timing. So we've had pretty big because the market's been so volatile.

there's been very significant factor and sector exposure. So we were like megalon everything in tech in April and May, but then at the end of May actually sold down a lot of the tech and put into energy. So that was basically I would say sector-wise the biggest shift. But if you look at the factor attribution, we started off with a very big growth, even sector-neutral pretty big growth bias, but then flipped to pretty big value bias from May as well. So that's definitely an element of timing with the factors. But I think the reason you have factor timing is those things are not stable anymore, right? And like when the environment is constantly going to be more shocks, like I think all you can do with your portfolio is when there's vol, try and rebalance to optimize for expected returns. So the attribution is almost slightly misleading in a way because I don't think factors are stable.

There's basically, there's an AI factor or not, right? That's basically like almost the only factor in the market. Yes. Like the value people who are permeables on value, which I'm not hating on at all, but like they, that the values outperformed And the reason is, is because like Mike Brown was 18%, you know, so yeah. And the index rebalances and now the, you know, the IWD or whatever it is like what Apple, Microsoft right on an index now. Yeah. Yeah. What's IWD? Oh, the Russell 1000 value ETF. Yeah. Okay. Gotcha. I think it's, it's like IWD, IWF, like whichever way around, like one's growth, one's value. Yeah. So there's been a pretty, so that's pretty important to be aware of. Like that was a very big Russell reclassification and the June.

I think. Yeah. So it's not the traditional value thing. It's got a lot of mega-cap tech into value now. So I think we prefer value more in the energy financials piece rather than just outright in the tech space. Tia, we will leave it there. People can find you on X at variant perception. Tell us about your website and where people find out more about the ETF stuff. Like I say, variantperception.com. We think of ourselves as combining macro, quant, always bottom of equities. Obviously, I've been lucky enough to be in a show multiple times, so hopefully the audience kind of knows. But yeah, I think the ETF is our attempt to try and show it's not just research or writing. We're trying to prove over time that we can generate our performance as well.